

CAPITAL MARKETS

Lee & Associates' \$5M Retail Loan Shows Time Is the Most Expensive Ingredient in Small-Balance CRE

A 30-year amortization on a \$5 million loan reveals how lenders are using time to manage risk in small-balance retail.

July 24, 2026 · Shopping Center Business · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in the \$5 million permanent loan for a 13,000-square-foot retail center in Rumford, Rhode Island, is not the loan amount. It is the 30-year amortization schedule.

That schedule tells you more about the lender's risk posture than the interest rate ever could. First Tech Federal Credit Union did not just agree to finance the acquisition of a Chipotle-anchored strip center. It agreed to give the borrower 30 years to pay down the debt. In small-balance commercial real estate, where loan sizes rarely exceed \$10 million and the borrower base is often a single-asset entity, time is not a backdrop. It is the most expensive ingredient in the capital stack.

Kempner Properties purchased the center at 75 Newport Ave. for \$8.5 million from Horvath & Tremblay. The \$5 million first mortgage represents a roughly 59 percent loan-to-cost ratio. That is conservative by pre-2022 standards, but it is not the leverage that matters. What matters is that the lender was willing to underwrite a 30-year amortization on a retail asset in a market where interest rates have not moved meaningfully lower in months.

A 30-year amortization means the borrower's annual debt service is lower than it would be under a 25-year schedule. That gives the sponsor more free cash flow from day one. It also means the lender is accepting a slower paydown of principal. In a rising-rate environment, that is a concession. In a flat-rate environment, it is a bet that the asset's cash flow will remain stable long enough for the amortization to matter.

The lender here is First Tech Federal Credit Union, a credit union based in California with a national lending platform. Credit unions have become an increasingly active source of small-balance commercial real estate debt, particularly for retail and multifamily assets in secondary and tertiary markets. They are not subject to the same regulatory scrutiny as banks, and they often hold loans to maturity rather than syndicating them. That changes the incentive structure. A credit union that originates a 30-year amortization loan is not planning to sell it. It is planning to collect payments for three decades.

That is a long time to be right about a retail center in Rumford, Rhode Island. The property sits on

nearly two acres and is leased to a mix of national credit tenants and local service businesses. Chipotle, Jersey Mike's, AT&T, and Wingstop provide the credit anchor. Salon Suites and a nail salon fill the remaining space. The tenant roster is diversified enough to survive a single vacancy, but it is not immune to the structural pressures facing small-shop retail. The nail salon and salon suites are local operators with thin margins. If the local economy softens, those tenants will be the first to struggle.

The lender is betting that the national tenants will carry the property through any local disruption. That is a reasonable underwriting assumption, but it is not a guarantee. The 30-year amortization gives the borrower breathing room, but it also extends the lender's exposure to the asset's long-term performance. If the property's cash flow deteriorates in year 12, the lender will still have 18 years of amortization left. That is a long time to wait for a recovery.

The transaction also reveals something about the state of small-balance retail financing. The loan is non-recourse, meaning the lender cannot pursue the borrower's other assets if the loan defaults. That is standard for permanent loans on stabilized properties, but it is worth noting in this context. The lender is accepting the asset as its only collateral. There is no personal guarantee to fall back on. That makes the underwriting of the property's cash flow even more critical.

Dave Carswell and Ryan Fitzpatrick of Lee & Associates arranged the loan. Their ability to secure a 30-year amortization in this rate environment suggests that credit unions are still willing to offer long-duration debt for well-located, credit-tenanted retail assets. That is a signal worth watching. If more credit unions follow First Tech's lead, small-balance retail borrowers may find that time is available, even if cheap capital is not.

The market should test whether this structure is repeatable. Can other small-balance retail assets command 30-year amortization from credit unions? Or is this a function of the specific tenant mix and location? The answer will determine whether the small-balance retail financing market is opening up or simply offering narrow windows of opportunity.

For now, the deal is a reminder that in commercial real estate, time is not neutral. It is a resource that lenders allocate carefully. A 30-year amortization is not just a schedule. It is a statement of conviction

about the asset's durability. The question is whether that conviction will be rewarded.

SOURCES

- Shopping Center Business —
<https://shoppingcenterbusiness.com/lee-associates-arranges-5-million-in-financing-for-acquisition-of-retail-center-near-providence-rhode-island/>

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